

The world in brief

Catch up quickly on the global stories that matter



Photograph: Reuters

Iran accused **America** of “undermining” the [ceasefire](#) between the two countries, citing violations and “contradictory messages”. On Tuesday America launched “self-defence strikes” against Iran after Donald Trump blamed the country for shooting down an Apache army helicopter. In response, Iran attacked an American base and several other sites across the Middle East. American officials said most of the missiles and drones were intercepted.

America’s annual inflation rate was 4.2% in May, up from 3.8% in April and the highest in three years. The core inflation rate, which strips out food and energy prices, was 2.9%. The Federal Reserve is expected to leave interest rates unchanged at its monetary-policy meeting next week, but [may raise them](#) before long. Mr Trump wants the central bank to cut rates.

The **European Union** proposed to ban all **Russian** soldiers who have served in **Ukraine** from entering the bloc. The move is part of a new round of sanctions to be voted on by member states. Other proposals include keeping the \$44 per barrel price cap on Russian oil until 2027 and extending measures against cryptocurrency firms and banks that help [Russia](#) evade sanctions.

Police in Northern Ireland said they will deploy an additional 200 officers in **Belfast**, fearing further violence after anti-immigration protests erupted on Tuesday. Demonstrators set vehicles and bins on fire after a **knife attack** that seriously injured a man. The alleged attacker, who was charged with attempted murder, is a Sudanese man in his 30s; his motive is being investigated.

Pakistan said it killed at least 26 militants from **Afghanistan** in air strikes near the two countries' border. The Afghan Taliban disputed the account, saying at least 13 civilians were killed. Pakistan [accuses Afghanistan's rulers](#) of sheltering the Tehreek-e-Taliban Pakistan, a militant group responsible for attacks inside Pakistan. Hundreds of people have been killed this year in military strikes exchanged by the neighbours.

Friedrich Merz said **Germany** and **France** would continue working on a "combat cloud" despite the collapse of their effort to develop a next-generation fighter jet. Germany's chancellor said the countries would present plans for the network, a means to share data between planes, drones and other systems, by July. The [jet-building programme](#), which also involved Spain, fell apart because of disputes between French and German defence firms.

A group of **Brazilian** senators put forward a bill to give the **central bank** control over its budget, rather than the government. The bank argues it needs budgetary autonomy to supervise Brazil's growing finance industry effectively. The government opposes the bill, fearing a loss of influence. It must now pass both chambers of Brazil's Congress to be enacted.

Figure of the day: 43%, China's estimated local-government debt as a proportion of GDP. [Read about why China's innovative economy is such a mess.](#)



Photograph: Alamy

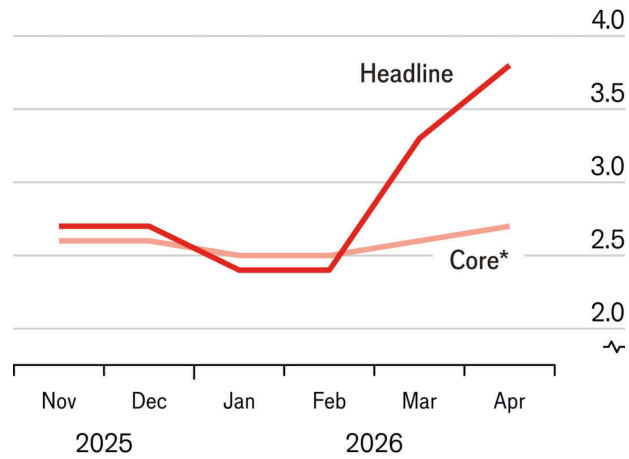
A tricky start for Kevin Warsh

America's inflation outlook has changed. Consumer prices rose by 2.4% year on year in February, before the Iran war began. With job growth cratering, markets expected the Federal Reserve to cut interest rates by December. Now the economy looks different. Payroll growth has been strong, averaging 188,000 a month over the past three months. The annual inflation rate rose to 3.8% in April, mainly because of energy prices.

On Wednesday America's Bureau of Labour Statistics released inflation data for May. They showed that prices rose by 4.2% from a year earlier, in line with expectations. Core inflation, which strips out volatile food and energy prices, increased by 2.9% year on year. Donald Trump picked [Kevin Warsh](#) as the Fed's new chair to lower interest rates. But the Fed is expected to keep them unchanged at his first policy meeting next week. Markets now see a strong chance of a rate rise by the end of the year.

Trigger point

US, consumer prices, % increase on a year earlier



*Excluding energy and food

Source: BLS



Photograph: EPA

Diplomatic deadlock between America and Iran

On Monday Donald Trump said there was a “good chance” of reaching an accord with Iran in “two or three days”. But on Tuesday he confirmed that an Apache helicopter went down near the Strait of Hormuz, and blamed Iran. American forces launched fresh strikes in retaliation, triggering another attack from Iran.

For weeks, it has been unclear whether the war was on the cusp of concluding with a deal, or escalating. Mr Trump has made hopeful remarks about an agreement every few days since April. Iranian officials are more circumspect: their ambassador to the UN hopes for an agreement by the end of June.

Talks have remained stuck on a few issues, particularly how much of Iran’s frozen assets America is willing to release. Neither side seems in a hurry, despite the economic pain caused by the closure of the Strait of Hormuz. Limbo cannot last forever, though. The more the ceasefire is tested, the more likely it is to collapse entirely.



Photograph: Reuters

Hungary's new place in Europe

On Wednesday Germany's foreign minister, Johann Wadephul, is expected to meet his new Hungarian counterpart, Anita Orban, in Berlin. The countries are resetting relations after the election in April of a pro-European government under Peter Magyar, who also visited the German capital last week. His victory [ended the 16-year premiership of Viktor Orban](#) (no relation to Ms Orban), whose nationalist government was a thorn in the side of the European Union. Mr Orban's defeat unblocked a €90bn (\$105bn) EU loan to Ukraine, which he had vetoed.

Ms Orban argues that Germany's and Hungary's economic and cultural ties did not get proper attention under the previous government. Germany is Hungary's top trading partner by far, accounting for approximately a quarter of Hungary's imports and exports. Some 300,000 Hungarians work for German companies, mostly carmakers such as Mercedes and Audi. Under new management, Hungary can expect a warmer welcome across Europe.



Photograph: Reuters

Barcelona commemorates Gaudí

On Wednesday evening Pope Leo will celebrate mass in the basilica of the Sagrada Familia (Holy Family), whose honeycombed towers rise above Barcelona. He will bless the cross, completed in February, that makes the still-unfinished basilica the tallest church in the world, and commemorate its visionary architect, Antoni Gaudí, who died exactly a century ago.

Gaudí's work, with its extravagant stone carvings, coloured tiles and renderings of plants and animals, is woven into the fabric of Barcelona. Yet he has always [divided opinion](#). To some, the Sagrada Familia is a work of genius, a modern reincarnation of Europe's great medieval cathedrals. To others, it is a gigantic folly. Gaudí himself was a profoundly contradictory figure: a Catalan nationalist and devout Catholic who joined the church's culture war against anarchism and liberalism. He is also a technical and artistic revolutionary whose influence can be seen in the buildings of many more recent architects.



Illustration: Sandra Navarro

Daily quiz

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 GMT on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

Wednesday: The First Continental Congress met in 1774 in which city?

Tuesday: Stanley Park is a large public park in which North American city?

*Nothing is invented, for it's
written in nature first.*

Antoni Gaudí